

Chapter 7

1. INTRODUCTION TO NON CURRENT ASSET HELD FOR SALE AND DISCONTINUED OPERATION

objectives

After the successful completion of this session, students are expected to

- Know the nature of NCAHFS and discontinued business operations

INTRODUCTION

IFRS 5 requires a non-current asset (or disposal group) to be classified as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

Determining whether (and when) an asset stops being recovered principally through use and becomes recoverable principally through sale is the critical distinction, and much of the is devoted to explaining how to make the determination. For an asset (or disposal group) to be classified as held for sale:

- (a) It must be available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets (or disposal groups);
- (b) Its sale must be highly probable; and
- (c) It must genuinely be sold, not abandoned.¹

1.1 NATURE OF NON CURRENT ASSET HELD FOR SALE AND DISCONTINUED OPERATION

For the sale to be highly probable, the appropriate level of management must be committed to a plan to sell the asset (or disposal group), and an active program to locate a buyer and complete the plan must have been initiated. Further, the asset (or disposal group) must be actively marketed for sale at a price that is reasonable in relation to its current fair value. In addition, the sale should be expected actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. The probability of shareholders' approval (if required in the jurisdiction) should be considered as part of the assessment of whether the sale is highly probable.

An entity that is committed to a sale plan involving loss of control of a subsidiary shall classify all the assets and liabilities of that subsidiary as held for sale when the criteria are met, regardless of whether the entity will retain a non-controlling interest in its former subsidiary after the sale.

Events or circumstances may extend the period to complete the sale beyond one year. An extension of the period required to complete a sale does not preclude an asset (or disposal group) from being classified as held for sale if the delay is caused by events or circumstances

beyond the entity's control and there is sufficient evidence that the entity remains committed to its plan to sell the asset (or disposal group).

For the sale to be highly probable:

- The appropriate level of management must be committed to a plan to sell the asset (or disposal group);
- An active program to locate a buyer and complete the plan must have been initiated; The asset (or disposal group) must be actively marketed for sale at a price that is reasonable in relation to its current fair value²;
- The sale should be expected to qualify for recognition as a completed sale within one year from the date of classification (although in certain circumstances this period may be extended as discussed below); and
- Actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.

IFRS 5 stipulates that a non-current asset (or disposal group) that is to be abandoned should not be classified as held for sale. This includes non-current assets (or disposal groups) that are to be used to the end of their economic life and noncurrent assets (or disposal groups) that are to be closed rather than sold. The standard explains that this is because its carrying amount will be recovered principally through continuing use.

EXTENSIONS OF PERIOD BEYOND ONE YEAR

Situations where an extension of the period required to complete the sale are allowable include these:

(a) The entity has committed itself to sell a noncurrent asset, and it expects that others may impose conditions on the transfer of the asset and where the conditions could not be completed until after a firm purchase commitment has been made and a firm purchase commitment is highly probable within a year. (b) A firm purchase commitment is made but a buyer unexpectedly imposes conditions on the transfer of the noncurrent asset held for sale. Timely actions should be taken to respond to the conditions, and a favorable resolution is anticipated. (c) During the one-year period, unforeseen circumstances arise that were considered unlikely, and the noncurrent asset is not sold. Necessary action to respond to the change in circumstances should be taken. The noncurrent asset should be being actively marketed at a reasonable price and the criteria set out for the asset to be classified as held-for-sale should have been met.

Example:

XYZ com. is committed to a plan to sell a building and has started looking for a buyer for that building. XYZ com. will continue to use the building until another building is completed to house the office staff located in the building. There is no intention to relocate the office staff until the new building is completed.

Required

would the building be classified as held for sale?

Solution

The building will not be classified as held for sale as it is not available for immediate sale.

Example:

XYZ com. is planning to sell part of its business that is deemed to be a disposal group. The entity is in a business environment that is heavily regulated, and any sale requires government approval. This means that the sale time is difficult to determine. Government approval cannot be obtained until a buyer is found and known for the disposal group and a firm purchase contract has been signed. However, it is likely that the entity will be able to sell the disposal group within one year.

Required

would the disposal group be classified as held for sale?

Solution

The disposal group would be classified as held for sale because the delay is caused by events or circumstances beyond the entity's control and there is evidence that the entity is committed to selling the disposal group.

1.2 INITIAL RECOGNITION AND MEASUREMENT NON CURRENT ASSET HELD FOR SALE 3

Learning objective

After the successful completion of this section, students are expected to

- Know how to initial and subsequently measure assets that are classified as NCAHFS
- Understand the requirements of presenting and disclosing NCAHFS in the financial statements 3 An entity shall measure a non-current asset (or disposal group) classified as held for sale at the **lower of its carrying amount and fair value less costs to sell.**

✓ Just before an asset is initially classified as held-for-sale, it should be measured in accordance with the applicable IFRS.

- ✓ When noncurrent assets or disposal groups are classified as held-for-sale, they are measured at the lower of the carrying amount and fair value less costs to sell.
- ✓ When the sale is expected to occur in greater than a year's time, the entity should measure the cost to sell at its present value. Any increase in the present value of the cost to sell that arises from the passage of time should be shown in profit and loss as finance cost.
- ✓ Any impairment loss is recognized in profit or loss on any initial or subsequent write-down of the asset or disposal group to fair value less cost to sell.
- ✓ Any subsequent increases in fair value less cost to sell of an asset can be recognized in profit or loss to the extent that it is not in excess of the cumulative impairment loss that has been recognized in accordance with IFRS 5 (or previously in accordance with IAS 36).
- ✓ Any impairment loss recognized for a disposal group should be applied in the order set out in IAS 36.
- ✓ Noncurrent assets or disposal groups classified as held-for-sale should not be depreciated.⁴

Change of plans: If the asset held for sale is not later disposed of, it is to be reclassified to the operating asset category it is properly assignable to. The amount to be initially recognized upon such reclassification would be the lower of:

1. The asset's carrying amount before the asset (or disposal group) was classified as held-for-sale, adjusted for any depreciation or amortization that would have been recognized during the interim had the asset (disposal group) not been classified as held-for-sale; and
2. The recoverable amount at the date of the subsequent decision not to sell

If the asset is part of a cash-generating unit (as defined under IAS 36), its recoverable amount will be defined as the carrying amount that would have been recognized after the allocation of any impairment loss incurred from that same cash-generating unit. Under the foregoing circumstance, the reporting entity would include, as part of income from continuing operations in the period in which the criteria for classification as held-for-sale are no longer classified as held-for-sale. That adjustment would be presented in income from continuing operations. It is not an adjustment to prior period results of operations under any circumstances.

If an individual asset or liability is removed from a disposal group classified as held for-sale, the remaining assets and liabilities of the disposal group still to be sold will continue to be measured as a group only if the group meets the criteria for categorization as held-for-sale. In other circumstances, the remaining noncurrent assets of the group that individually meet the criteria to be classified as held-for-sale will need to be measured individually at the lower of their carrying amounts or fair values less costs to sell at that date.

1.4 PRESENTATION AND DISCLOSURE OF NON CURRENT ASSET HELD FOR SALE

IFRS 5 specifies that noncurrent assets classified as held-for-sale and the assets of disposal group classified as held-for-sale must be presented separately from other assets in the statement of financial position. The liabilities of a disposal group classified as held-for-sale are also presented separately from other liabilities in the statement of financial position. Several disclosures are required, including a description of the noncurrent assets of a disposal group, a description of the facts and circumstances of the sale, and the expected manner and timing of that disposal. Any gain or loss recognized for impairment or any subsequent increase in the fair value less costs to sell should also be shown in the applicable segment in which the noncurrent assets or disposal group is presented in accordance with **IFRS 8**.

Generally

- An entity shall measure a non-current asset (or disposal group) classified as held for sale at the lower of its carrying amount and fair value less costs to sell.
- An asset that is classified as held for sale should be presented separately in the statement of financial position

5 Chapter 8

2. INTANGIBLE ASSET

2.1.CHARACTERSTICS AND CLASSIFICATION OF INTANGIBLE ASSET

Learning objective

After the successful completion of this session, students are expected to

- Distinguish intangible assets from other type of assets
- Identify the different types of intangible assets

ITRODUCTION

The previous version of **IAS 38** defined an **intangible asset** as an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others, or for administrative purposes. The objective of this Standard is to prescribe the accounting treatment for intangible assets that are not dealt with specifically in another Standard. This Standard requires an entity to recognize an intangible asset if, and only if, specified criteria are met. The standard also specifies how to measure the carrying amount of intangible assets and requires specified disclosures about intangible assets.

CHARACTERSTICS OF INTANGIBLE ASSET

What exactly are intangible assets? Intangible assets have three main characteristics.

1. They are identifiable. To be identifiable, an intangible asset must either be separable from the company (can be sold or transferred), or it arises from a contractual or legal right from which economic benefits will flow to the company.

2. They lack physical existence. Tangible assets such as property, plant, and equipment have physical form. Intangible assets, in contrast, derive their value from the rights and privileges granted to the company using them.

3. They are not monetary assets. Assets such as bank deposits, accounts receivable, and long-term investments in bonds and shares also lack physical substance. However, monetary assets derive their value from the right (claim) to receive cash or cash equivalents in the future. Monetary assets are not classified as intangibles. In most cases, intangible assets provide benefits over a period of years.

Therefore, companies normally classify them as non-current assets. **CLASSIFICATION OF INTANGIBLE ASSET**

There are many different types of intangibles, often classified into the following six major categories.

1. Marketing-related intangible assets.
2. Customer-related intangible assets.
3. Artistic-related intangible assets.
4. Contract-related intangible assets.
5. Technology-related intangible assets.
6. Goodwill.

1. Marketing-Related Intangible Assets

Companies primarily use **marketing-related intangible assets** in the marketing or promotion of products or services. Examples are trademarks or trade names, newspaper mastheads, Internet domain names, and non-competition agreements. A **trademark or trade name** is a word, phrase, or symbol that distinguishes or identifies a particular company or product. Trade names like Mercedes-Benz, Pepsi-Cola, Honda, Cadbury Eggs, Wheaties, and **Ikea** create immediate product identification in our minds, thereby enhancing marketability.

2. Customer-Related Intangible Assets

Customer-related intangible assets result from interactions with outside parties. Examples include customer lists, order or production backlogs, and both contractual and non-contractual customer relationships. To illustrate, assume that Green Market Inc. acquires the customer list of a large newspaper for €6,000,000 on January 1, 2015. This customer database includes

name, contact details, order history, and demographic information. Green Market expects to benefit from the information evenly over a three-year period. In this case,

the customer list is a limited-life intangible that Green Market should amortize on a straight line basis.

3. Artistic-Related Intangible Assets

Artistic-related intangible assets involve ownership rights to plays, literary works, musical works, pictures, photographs, and video and audiovisual material. Copyrights protect these ownership rights.

A copyright is a government-granted right that all authors, painters, musicians, sculptors, and other artists have in their creations and expressions. A copyright is granted for the **life of the creator plus 70 years**. It gives the owner or heirs the exclusive right to reproduce and sell an artistic or published work. Copyrights are not renewable.

4. Contract-Related Intangible Assets

Contract-related intangible assets represent the value of rights that arise from contractual arrangements. Examples are franchise and licensing agreements, construction permits, broadcast rights, and service or supply contracts. A franchise is a contractual arrangement under which the franchisor grants the franchisee the right to sell certain products or services, to use certain trademarks or trade names, or to perform certain functions, usually within a designated geographical area.

5. Technology-Related Intangible Assets

Technology-related intangible assets relate to innovations or technological advances. Examples are patented technology and trade secrets granted by a governmental body. In many countries, **a patent** gives the holder exclusive right to use, manufacture, and sell a product or process **for a period of 20 years** without interference or infringement by others.

6. Goodwill

although companies may capitalize certain costs incurred in developing specifically identifiable assets such as patents and copyrights, the amounts capitalized are generally insignificant. But companies do record material amounts of intangible assets when purchasing intangible assets, particularly in situations involving a business combination (the purchase of another business). In many business combinations, the purchasing company records goodwill. **Goodwill** is measured as the excess of the cost of the purchase over the fair value of the identifiable net assets (assets less liabilities) purchased. For example, if Portofino paid \$2,000,000 to purchase Aquinas's identifiable net assets (with a fair value of \$1,500,000), Portofino records goodwill of \$500,000.⁷

generally

- Intangible assets are assets that they are identifiable, that lack physical existence, and that are not monetary assets.
- In most cases, intangible assets provide services over a period of years and so are normally classified as non-current assets⁸

2.2 VALUATION AND AMORTIZATION INTANGIBLE ASSET

Learning objective

After the successful completion of this session, students are expected to

- Describe the valuation and amortization of intangible assets

I. Purchased Intangibles. Companies' record at cost intangibles purchased from another party. Cost includes all acquisition costs plus expenditures to make the intangible asset ready for its intended use. Typical costs include purchase price, legal fees, and other incidental expenses. Sometimes companies acquire intangibles in exchange for shares or other assets. In such cases, the cost of the intangible is the fair value of the consideration given or the fair value of the intangible received, whichever is more clearly evident. What if a company buys several intangibles, or a combination of intangibles and tangibles? In such a "basket purchase," the company should allocate the cost on the basis of fair values. Essentially, the accounting treatment for purchased intangibles closely parallels that for purchased tangible assets.

II. Internally Created Intangibles

Businesses frequently incur costs on a variety of intangible resources, such as scientific or technological knowledge, market research, intellectual property, and brand names. These costs are commonly referred to as research and development (R&D) costs. Intangible assets that might arise from these expenditures include patents, computer software, copyrights, and trademarks. For example, Nokia (FIN) incurred R&D costs to develop its communications equipment, resulting in patents related to its technology. In determining the accounting for these costs, Nokia must determine whether its R&D project is at a sufficiently advanced stage to be considered economically viable.

2.2.1 AMORTIZATION INTANGIBLE ASSET

The allocation of the cost of intangible assets in a systematic way is called amortization.⁸ Intangibles have either a limited (finite) useful life or an indefinite useful life.⁸

LIMITED-LIFE INTANGIBLES

Companies amortize their limited-life intangibles by systematic charges to expense over their useful life. The useful life should reflect the periods over which these assets will contribute to cash flows. Disney, for example, considers these factors in determining useful life:

1. The expected use of the asset by the company.
2. The effects of obsolescence, demand, competition, and other economic factors. Examples include the stability of the industry, known technological advances, legislative action that

results in an uncertain or changing regulatory environment, and expected changes in distribution channels.

3. Any provisions (legal, regulatory, or contractual) that enable renewal or extension of the asset's legal or contractual life without substantial cost. This factor assumes that there is evidence to support renewal or extension. Disney also must be able to accomplish renewal or extension without material modifications of the existing terms and conditions.

4. The level of maintenance expenditure required to obtain the expected future cash flows from the asset. For example, a material level of required maintenance in relation to the carrying amount of the asset may suggest a very limited useful life.

5. Any legal, regulatory, or contractual provisions that may limit the useful life.

6. The expected useful life of another asset or a group of assets to which the useful life of the intangible asset may relate (such as lease rights to a studio lot).

The amount of amortization expense for a limited-life intangible asset should reflect the pattern in which the company consumes or uses up the asset, if the company can reliably determine that pattern.

INDEFINITE-LIFE INTANGIBLES

If no factors (legal, regulatory, contractual, competitive, or other) limit the useful life of an intangible asset, a company considers its useful life indefinite. An **indefinite life** means that there is no foreseeable limit on the period of time over which the intangible asset is expected to provide cash flows. A company **does not amortize** an intangible asset with an indefinite life.

Example 1: Assume that Green Market Inc. acquires the customer list of a large newspaper for Br 6,000,000 on January 1, 2015. This customer database includes name, contact details, order history, and demographic information. Green Market expects to benefit from the information evenly over a three-year period. In this case, the customer list is a limited-life intangible that Green Market should amortize on a straight-line basis.

January 1, 2015

Customer list	6,000,000
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Cash	6,000,000
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(To record purchase of customer list)

December 31, 2015, 2016, 2017

Amortization Expense (customer list)	2,000,000
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Customer List (or Accumulated Customer List Amortization)	2,000,000
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(To record amortization expense)

Example 2: To illustrate, assume that Barkot plc Co. incurs birr 180,000 in legal costs on January 1, 2015, to successfully defend a patent. The patent's useful life is 20 years, amortized on a straight line basis. Barkot plc records the legal fees and the amortization at the end of 2015 as follows.

January 1, 2015

Patents	180,000
Cash	180,000

December 31, 2015

Patent Amortization Expense (180,000 / 20)	9,000
Patents (or Accumulated Patent Amortization)	9,000 generally

- Initially intangible assets are recorded at cost. However, the cost of intangible asset is split into two as research phase cost and development phase cost.
- Cost that are incurred at development stage are recognized as cost of the intangible asset
- Internally generated intangibles assets like goodwill are not recognized as they are not measurable
- Intangible assets may have definite or indefinite life and those who have definite life are amortized over their useful life.

2.3 IMPAIRMENTS INTANGIBLE ASSET 10

An intangible asset is **impaired** when a company is not able to recover the asset's carrying amount either through using it or by selling it. As discussed in Chapter 2, to determine whether a long-lived asset (property, plant, and equipment or intangible assets) is impaired, a review is made of the asset's cash-generating ability through use or sale. If the carrying amount is higher than the recoverable amount, the difference is an impairment loss. If the recoverable amount is greater than the carrying amount, no impairment is recorded.

The rules that apply to **impairments of property, plant, and equipment also apply to limited life intangibles**. At each statement of financial position date, a company should review limited life intangibles for impairment. Information indicating that an impairment test should be performed might be internal (e.g., physical damage or adverse changes in performance) or external (e.g., adverse changes in the business or regulatory environment, or technological or competitive developments). If there is an indication that an intangible asset is impaired, the company performs an impairment test: compare the carrying value of the intangible asset to the recoverable amount.

Recall that the **recoverable amount** is defined as the higher of fair value less costs to sell or value-in-use. Fair value less costs to sell means what the asset could be sold for after deducting costs of disposal. Value-in-use is the present value of cash flows expected from the future use and eventual sale of the asset at the end of its useful life. The **impairment loss** is the carrying amount of the asset less the recoverable amount of the impaired asset. As with other impairments, the loss is reported in profit or loss. Companies generally report the loss in the “Other income and expense” section. To

illustrate, assume that Lerch, Inc. has a patent on how to extract oil from shale rock, with a carrying value of €5,000,000 at the end of 2014. Unfortunately, several recent non-shale-oil discoveries adversely affected the demand for shale-oil technology, indicating that the patent is impaired. Lerch determines the recoverable amount for the patent, based on value-in-use (because there is no active market for the patent). Lerch estimates the patent’s value-in-use at €2,000,000, based on the discounted expected net future cash flows at its market rate of interest. The following Illustration shows the impairment loss computation (based on value-in-use).

Loss on impairment	3,000,000
Patent	3,000,000

Reversal of Impairment Loss

What happens if a review in a future year indicates that an intangible asset is no longer impaired because the recoverable amount of the asset is higher than the carrying amount? In that case, the impairment loss may be reversed. To illustrate, continuing the Lerch patent example, assume that the remaining life of the patent is five years with zero residual value. Recall the carrying value of the patent after impairment is €2,000,000 (€5,000,000 - €3,000,000). Thus, Lerch’s amortization is €400,000 (€2,000,000 ÷ 5) over the remaining five years of the patent’s life. Early in 2016, based on improving conditions in the market for shale-oil technology, Lerch remeasures the recoverable amount of the patent to be €1,750,000. In this case, Lerch reverses a portion of the recognized impairment loss with the following entry.

Patents (€1,750,000 - €1,600,000)	150,000	
Recovery of Impairment Loss		150,000

Impairment of Goodwill

The timing of the impairment test for goodwill is the same as that for other indefinite-life intangibles. That is, companies must test goodwill at least annually. However, because goodwill generates cash flows only in combination with other assets, the impairment test is conducted based on the cash-generating unit to which the goodwill is assigned. When companies identify a cash generating unit based on the smallest identifiable group of assets that generate cash flows independently of the cash flows from other assets 11 **generally**

- Intangible asset is said to be impaired when the carrying amount of the asset becomes greater than the recoverable amount.

- The accounting treatment of impairment and impairment reversal is the same as property, plant and equipment.
- Goodwill and intangible assets that have indefinite life are tested for impairment annually 12

2.4 RESEARCH AND DEVELOPMENT COST Research and development (R&D) costs are not in themselves intangible assets. However, we present the accounting for R&D costs here because R&D activities frequently result in the development of patents or copyrights (such as a new product, process, idea, formula, composition, or literary work) that may provide future value. As indicated, all costs incurred in the research phase are expensed as incurred. Once a project moves to the development phase, certain development costs are capitalized. Specifically, development costs are capitalized when certain criteria are met, indicating that an economically viable intangible asset will result from the R&D project. In essence, **economic viability** indicates that the project is far enough along in the process such that the economic benefits of the R&D project will flow to the company. Therefore, development costs incurred from that point forward meet the recognition criteria and should be recorded as an intangible asset.

Research phase

Examples include:

- ✓ Activities aimed at obtaining new knowledge
- ✓ Search for, evaluation and final selection of applications of research findings or other knowledge 12
- ✓ Search for, formulation, design, evaluation, and final selection for alternative materials, devices, products, processes, systems or services

Development phase

Recognize an intangible asset at cost if and only if all can be demonstrated:

1. Technical feasibility of completion of the asset
2. Management's intention to complete & use/sell the asset
3. Ability to use or sell the intangible asset
4. How the intangible asset will generate probable future economic benefit
5. Availability of adequate technical, financial and other resources to complete the development of the asset
6. Ability to measure reliably the expenditures attributable to the asset during the

development phase.

Examples include:

- ✓ Design, construction and testing of pre-production or pre-use prototypes and models
- ✓ Design of tools, jigs, moulds and dies involving new technology
- ✓ Design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production
- ✓ Design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems or services

2.5 WEBSITE COSTS

Stages of website development costs:

1. Planning- feasibility studies, defining objectives and specifications, evaluating alternatives and selecting preferences.

Similar to the research phase, expensed to P&L when it is incurred

2. Application and Infrastructure Development - obtaining a domain name, purchasing and developing hardware and operating software, installing developed applications and stress testing

Criteria in **IAS 38** for development phase applies

3. Graphical Design Development - designing the appearance of web pages 13 Criteria in **IAS 38** for development phase applies

4. Content Development - creating, purchasing, preparing and uploading information on the web site before the completion of the web site's development.

Criteria in **IAS 38** for development phase apply.

generally

- The cost of plant asset is split in to two, namely, research phase cost and development phase costs
- Costs that are incurred at the research phase are directly expensed to the period, while costs that are incurred in the development stage are capitalized.